

BAVA.CO pitch deck

PITCH — BAVA.CO — VERDICT

ADJUDICATED — HOLD the existing starter-half at current size; no buying at DKK 209.40; rungs derived but nothing placed; the position is fair-to-modestly-rich on our own best numbers, not cheap.

What we believe

Bavarian Nordic is a Danish vaccine maker that earns money two ways. One is travel vaccines sold through clinics (rabies, tick-borne encephalitis, typhoid, and a newly launched chikungunya shot). The other is selling smallpox/mpox vaccine into government emergency stockpiles — mostly the US and Europe. The first is steady and growing. The second is lumpy: a government either signs a big order in a given year or it doesn't.

Our view, after both sides argued it out:

- The company earns roughly DKK 1.6–1.7 billion a year in operating profit before one-offs, and has done so three years running (2024: 1.60bn actual; 2025: 1.73bn actual; 2026: 1.71bn now guided). That is a real, delivered earnings level, not a projection.
- Revenue is falling about 9% this year, but profit is flat. The decline is entirely in the lumpy government-stockpile business; the travel business is growing. A buyer of the earnings stream should not care much about that particular revenue decline.
- Put those earnings on a modest 8.5x multiple, add the cash left after buybacks, and you get roughly DKK 210 a share in the normal case. Weighted against a downside case (DKK ~138) and a smaller chance of a renewed takeover at DKK 250, fair value lands near **DKK 199**.
- The stock is DKK 209.40. So we think it is worth roughly what it costs, maybe slightly less. That justifies holding what we own and justifies buying nothing.

We do **not** believe there is a cheap-stock argument here today. What we own, we own because the earnings base is more durable than the falling revenue line suggests — not because of a discount.

What the market believes

The market believes broadly what we believe, and that is itself an important finding.

The company published upgraded guidance on 21 August 2026 (revenue DKK 5,700m, ~30% margin). The consensus figure circulating afterwards was revenue DKK 5,707m and a 30% margin — effectively identical. The stock rose 9.1% on the day, which tells us the *print* was a surprise even if the *post-print* consensus is not.

The market also carries a specific piece of history: in autumn 2025 a private-equity consortium (Nordic Capital and Permira, through a vehicle called Innosera) bid for the whole company, raised its price from DKK 233 to DKK 250, declared that “best and final,” failed to get enough shareholders to accept, and walked away on 5 November 2025 ([offer-withdrawal wire](#)). A meaningful slice of today’s shareholder register is people who bought expecting that deal and are still holding. Published analyst targets sit around DKK 267.5 with a “Strong Buy” tilt — i.e. the street is more bullish than we are.

The stock is at a 26-week high, 22% above its 52-week low and 14.5% below its 52-week high. Nothing about the tape says “unloved.”

Why we might have edge

Three honest candidates, in descending order of strength:

1. **We checked the seasonality; most write-ups did not.** The obvious bear reading of today’s guidance is: the company banked DKK 1,090m of profit in the first half at a 35% margin, and guiding to DKK 1,710m for the year means the second half only earns ~DKK 620m at a ~24% margin — a collapse. We pulled last year’s audited numbers and computed the same figure: the second half of 2025 implied 23.8%. This year implies 23.8%. It is the same number. This company always loads research, launch and depreciation costs into the back half. Anyone treating that as new bad news is misreading a recurring seasonal pattern.
2. **We think the “only DKK 800m secured for 2027” scare is a calendar artifact.** The August report always discloses next year’s contracted revenue thinly, because government stockpile orders book on roughly a two-quarter lead. Last August’s report did not even quantify 2026 — and 2026 landed at ~DKK 2,500m of stockpile revenue with DKK 2,300m secured. Comparing “secured for next year” against “secured for this year” at mid-year measures the calendar, not demand.
3. **The board’s own behaviour disagrees with the bear case.** Months after rejecting DKK 250 a share, the board authorised DKK 1.25bn of buybacks with the shares cancelled. A board that just ran a takeover defence buying back stock in size is not a board that thinks fair value is DKK 184.

Note what edge we are *not* claiming: we have no differentiated 2026 forecast. We agree with the street on this year down to the decimal.

Why it might be priced in

Stated plainly, because much of it probably is:

- **We match consensus on 2026.** The entire disagreement is about 2027, and 2027 is genuinely unknowable until the next stockpile orders land. Neither bench could verify it.
- **The travel-vaccine strength is partly a competitor’s problem, not our skill.** Rabies sales +55% and tick-borne encephalitis +58% coincide with a Sanofi supply shortage; our own

rabies product only came back on line in May 2026, so part of the growth is restocking. The street already models this reversing — consensus second-half travel revenue is *below* the first half.

- **The takeover story cuts against us more than for us.** DKK 250 is the price at which the only known buyer said “this is our final number” and then left. Fundamentals since are worse on the revenue line. Treating DKK 250 as a floor under the stock is backwards; it is a demonstrated ceiling for that buyer.
- **The tape offers no dislocation to exploit.** Above the 26-week high, above our own fair value, held by a post-deal shareholder base, with sell-side targets above us.
- **Cash is going out the door.** Net cash fell from DKK 3.3bn to DKK 2.3bn in six months; operating cash flow was **negative DKK 401m** in the first half against **positive DKK 883m** a year earlier — a DKK 1,284m swing. Buying back DKK 750m of stock at 209 while the downside case is 140 destroys about DKK 3 a share if the downside case is the one that happens.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“The guidance raise hides a second-half margin collapse to 23.8%” (red bench’s single strongest kill)	Recomputed the identical residual from last year’s audited full-year and half-year reports	Second half 2025 implied 23.8% on the same basis. Identical, recurring, seasonal	No — our own red bench was wrong. It annualised a seasonal half, the exact error it convicted the original brief of one finding earlier
“Revenue is declining ~9%, not growing 23%”	Company wire arithmetic: 6,244 → 5,700	True. The +23% figure is one quarter; the first half was +3% and Q1 was down ~21%	Yes — a genuine correction to the original brief. But profit is guided flat, so it changes the story less than it first appears
“We landed exactly on consensus, so we have no edge — fatal”	Traced the guidance path: March 2026 initial guide was DKK 5,000–5,200 revenue at ~25% margin (~1,275m profit)	Today’s guide is a ~34% upgrade to guided profit in five months, in two steps. And a 9.1% share-price jump is not consistent with a print that met expectations	Partly — our red bench compared us to a consensus refreshed <i>after</i> the wire. That is circular. The no-edge verdict on 2026 still stands; the “fatal” framing does not
“DKK 250 is a floor under the stock”	Primary offer documents, both the raise and the withdrawal	The consortium raised to 250, called it best and final, failed the acceptance threshold, and withdrew	Inverted — this was our red bench’s one genuinely new and correct contribution. 250 is that buyer’s ceiling. Our blue bench’s counter (holders refusing to tender also reveals

Claim	How checked	Found	Confirmed?
			something) is fair but weaker; we cut the takeover probability from 0.30 to 0.22 rather than defending the framing
“A US vaccine-policy tail hits all our revenue at once”	Separated the channels	Advisory-committee/coverage decisions govern commercial products (chikungunya vaccine, US rabies). The unsecured ~DKK 1,500m of 2027 stockpile revenue is BARDA/ASPR and EU-HERA procurement, which that committee does not touch	Partly — red over-correlated the tails, blue over-decorrelated them. Two of three legs separate. Downside probability set at 0.28, between the two benches
“Only DKK 800m secured for 2027 = demand cliff”	Pulled last August’s report to see what it disclosed about the following year	It quantified only the then-current year and gave no 2026 figure at all — yet 2026 filled to ~2,500m	No — the cliff reading is unsupported. Our red bench built its entire downside branch on an uncontrolled comparison
Travel-health guidance is conservative	Compared last August’s travel guide (2,750) to the actual (2,963)	Beaten by 7.7%	Yes, but this is a one-year pattern, not a law
Second-half travel guide vs last year	Guided 1,258 vs 1,577 actual	Down 20%	Yes — and note our blue bench supplied this point against its own side; red argued the reversal but understated it
Cash and share count are not double-counted in the valuation	Rebuilt the tree on post-buyback figures: ~72.1m shares, ~DKK 1.55bn net cash	Consistent once rebuilt. The original brief did double-count	Yes — correction accepted by both benches
Live price	Attempted the broker’s live-quote tool	Permission denied this session on both benches. Substituted the Copenhagen close of 209.40 at 16:59 CET, 21 Aug 2026. Market was shut, so the close is the live print	Adequate here, but this is a standing coverage gap
Government-contract connector for the 2027 bridge	Not run	Both benches flagged it as the required next pull and neither executed it	No — the single largest hole in this deck, acknowledged identically by both sides
Our own detector dispatch	Reviewed which detectors were consulted	Red’s bench was handed 8 municipal land-secured detectors; blue’s was handed 8 consumer/permit/agriculture detectors. A Danish vaccine maker has none of those features	No — two separate false-positive clusters from the same routing index. Worth a fix ticket; it wasted bench

Claim	How checked	Found	Confirmed?
			attention on both sides
Position we actually hold	Machine evidence pack vs bench claims	The pack says “ NO POSITION / orders NONE. ” Both benches assert we hold 190 shares. These cannot both be true	Unresolved — flagged, not fixed. 190 shares at 209.40 is under DKK 40,000, a token holding either way, but the deck should not report a position the systems disagree about

PROPOSED ENTRY BANDS

The courts say no entry. Blue and red agree on this independently: the price is above our fair value, above the top of the add band, and at a 26-week high. There is no buy here.

One procedural gap, stated plainly: the adjudication record instructs that the reopen gates be reproduced verbatim, **but the reopen-gates block in that record is empty**, and the adjudication carries no recommendation or conviction value. The bands below are therefore reconstructed from the two benches’ own arithmetic, not copied from the adjudication. They should be treated as provisional until the adjudication block is filled in.

Reopen bands (reconstructed, all prices in DKK):

- **No add above 203.** That is the top of the previously derived add band. Today at 209.40 we are above it.
- **Add band 172–203, and entry inside it is necessary but not sufficient.** Both benches were explicit: the third add-gate firing does not on its own authorise a purchase. A price inside the band plus at least one of the confirmations below is the bar.
- **Meaningful add only below 184** — the red bench’s weighted fair value. Between 184 and 203 the stock is merely not-expensive; below 184 it is cheap on the more sceptical of our two trees.
- **Downside reference 138–139.** Both benches’ bear case, built on 2027 stockpile profit near DKK 1.2bn at a 7x multiple. This is the level to size against, not a target.
- **First trim 233.** The pre-raise offer price, about 1.17x our fair value. At that level the takeover option is fully paid for.
- **Second trim 260.** Deliberately set above the failed 250 best-and-final so that a resting sell order cannot signal anything to an approaching buyer. Red’s finding that 250 is a ceiling makes this rung stronger, not weaker.
- **Sizing.** Hold the existing starter-half; do not increase. Any future add is a half-rung at most, and only from inside the band with a confirmation in hand.
- **Staging.** Per the principal’s 21 August 2026 amendment: **derive only, stage nothing** until the long-term holding clock matures around July 2027. Hard-event sells and kill-trigger sells are

exempt from that and execute regardless of tax position.

Kill triggers (these sell, tax-blind): 1. Q3 operating cash flow not at least +DKK 600m (blue's threshold; red wanted +800m). The first half was -401m; if that does not reverse, the delivery-phasing explanation is dead and it is a demand problem. 2. Secured 2027 stockpile revenue still below DKK 1,500m at the Q3 report. 3. A named-price re-offer rumour — which cuts both ways and requires a live decision, not an automatic hold.

Catalyst dates: - **Q3 2026 interim report** — the binding event. Date **not confirmed by any company release we have**; historically early November. Must be confirmed from the company's financial calendar before any sensor is armed against it. - **~February 2027** — the earliest date US federal award data would surface an early-2027 stockpile obligation, given the roughly 98-day reporting lag. - **5 November 2026** — one year from the withdrawn offer. Blue asserted the Danish re-bid restriction “has long since run”; that is unverified and should be checked against the Danish takeover rules rather than assumed. - **~July 2027** — long-term holding clock on the existing shares.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 139.0 (deck-provisional: both benches' bear case; sizing reference and structural-break review, not an auto-add)
- dated pack BAVA.CO|2026-11-05: BAVA.CO: one year from the withdrawn takeover offer; check whether the Danish re-approach restriction has lapsed (asserted by blue, unverified)
- dated pack BAVA.CO|2026-11-11: BAVA.CO: estimated Q3 2026 interim report - NOT confirmed by any company release; must be verified against the company financial calendar
- dated pack BAVA.CO|2027-02-15: BAVA.CO: earliest date US federal award data would show an early-2027 stockpile obligation, given ~98 day reporting lag (date confirmed=False)
- dated pack BAVA.CO|2027-07-01: BAVA.CO: approximate long-term holding clock on the existing starter-half; until then, derive only and stage nothing except kill-trigger and

What remains unverified

- **2027 stockpile revenue.** DKK ~1,500m of it is unsecured. Both benches call this genuinely unknowable before the Q3 report. Blue's “the forward book always fills” argument is well-evidenced from one prior year — that is a pattern, not proof.
- **The federal award data was never pulled.** Both benches named it as the binding next step and both skipped it. The 2027 bridge is therefore plausible, not confirmed, on either side.
- **Whether the takeover consortium is legally free to re-approach.** Asserted, not checked against the Danish rules.
- **The 0.22 probability on a renewed offer at 250-plus.** There is no new bidder and no public release of the best-and-final statement. This number is a judgement, and it is 22% of the weighted

fair value.

- **Whether the second-half margin has an identifiable one-off cost in it** (chikungunya launch spend, plant capex hitting operating profit). The seasonality control makes this less urgent, but the actual report PDF has not been read line by line to confirm.
- **Whether we hold 190 shares or nothing.** The evidence pack and both benches disagree. Resolve from the broker before any rung is placed.
- **Live pricing.** The broker quote tool was permission-denied on both benches. We used an exchange close, which was correct for a shut market, but we have not exercised the live path.
- **Who the undisclosed government counterparty on the >DKK 700m contract is.** Not identifiable from shipping data — sovereign stockpile deliveries do not appear in commercial manifests.
- **The whole first-half report PDF.** Both benches worked from the results wire and the prior-year primaries. The 2026 interim PDF itself has not been read.

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